MONEYRULES SERIES

Tax-Efficiency Masterclass

Keep More of What You Earn — Legally

The allowances, wrappers and simple moves that cut your tax bill without any risk.

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The Principle

Tax efficiency is not about dodging tax — it is about using the allowances and accounts the government deliberately created to reward saving and investing. Most people leave hundreds or thousands on the table every year simply by not using them.

> **It is not what you earn — it is what you keep.**
> **Every allowance you waste is gone for good at year end.**

Your Key Annual Allowances

Allowances reset each tax year and most cannot be carried forward. Treat them like a use-it-or-lose-it budget. (Figures change each year — always check the current limits.)

Allowance	What it does
Personal Allowance	Income you can earn before any income tax
ISA Allowance	Save/invest each year completely tax-free
Pension Annual Allowance	Contributions that get tax relief
Dividend Allowance	Dividends before dividend tax applies
Capital Gains Allowance	Profit on investments before CGT
Personal Savings Allowance	Bank interest before tax

The Two Wrappers Everyone Should Use

The ISA

Everything inside an ISA grows free of income tax and capital gains tax, and withdrawals are tax-free. Flexible, simple, and ideal for medium-term goals and tax-free income later.

The Pension (SIPP / workplace)

Contributions get tax relief at your marginal rate — a basic-rate taxpayer turns £80 into £100 instantly; a higher-rate taxpayer can reclaim more. Locked away until pension age, but the relief is the single biggest legal boost to your wealth.

Quick Wins Most People Miss

Action Checklist

- **Claim higher-rate pension tax relief through self-assessment — it is not always automatic.**
- **Marriage Allowance — transfer unused personal allowance between spouses.**
- **Salary sacrifice for pension — saves income tax AND National Insurance.**
- **Use both partners' ISA and CGT allowances to double your tax-free room.**
- **Hold investments inside an ISA/pension rather than a taxable account.**

Common Mistake

Assuming higher-rate pension relief is applied automatically. For most people it is NOT — you must claim the extra 20-25% back via self-assessment, or it is lost.

A single afternoon setting these up can be worth more than a pay rise — and it repeats every single year.

This guide is educational, not personal tax advice. For your own situation, check current HMRC limits or speak to a qualified adviser.

Thank you for reading.

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Your Guide to Earning More

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